Manipal Cigna Health Insurance Company Limited

October 28, 2026

Facilities/Instruments	Name of the Regulator[1]	Amount (₹ crore)	Rating[2]	Rating Action
Subordinate debt*	SEBI	125.00	CARE BBB; Stable	Upgraded from CARE BB; Stable

Details of instruments/facilities in Annexure-1.

*CARE Ratings Limited (CareEdge Ratings) has rated the aforesaid subordinate debt considering the regulatory conditions and in view of their sensitiveness to the company's solvency ratio and profitability due to the regulatory covenants in the long tenure of the instrument. Interest payable on subordinate debt will be subject to the following:

- The solvency of the issuer remains per regulatory stipulation.
- Where the impact of such payment may result in net loss or increase the net loss, prior approval of the authority for such payment will be obtained.

Any delay in payment of interest / principal (as the case may be) following the invocation of covenants, would constitute an event of default per CareEdge Ratings' definition of default and as such these instruments may exhibit sharper migration of the rating.

Rationale and key rating drivers

CARE Ratings Limited (CareEdge Ratings) has upgraded the rating assigned to subordinate debt of Manipal Cigna Health Insurance Company Limited (MCHI or the Company) to CARE BBB; Stable [from CARE BB; Stable]. The upgrade follows MCHI's default-free track record of more than 365 days from the date of previous default, with all interest obligations being serviced in a timely manner.

The upgrade in the rating further factors in MCHI's strong parentage, with the Company's status as a joint venture (JV) between the Manipal Group, India [Manipal Education & Medical Group India Private Limited (MEMG)], and The Cigna Group (Cigna), a US-based global health services company. The rating also reflects the benefits derived from continued brand, capital, and managerial support from the promoters. Both the promoters have provided capital support to the tune of ₹1,567 crore in the last four years (FY23-FY26) to meet MCHI's growth and solvency requirements. MCHI's Board includes representatives from both the Manipal Group and Cigna, who actively participate in various committees, providing strategic guidance and managerial oversight. CareEdge Ratings expects the promoters to continue extending need-based financial support to MCHI in a timely manner.

However, the rating is constrained by relatively small scale of operations and a rising claims ratio resulting in weak profitability. The Company's presence in a single business increases its vulnerability to sector-specific dynamics and raises exposure to event risks. Going forward, the continued support from the promoters, and MCHI's ability to sustain its growth momentum while improving its profitability will be key monitorable.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors: Factors that could individually or collectively lead to positive rating action/upgrade:

- Sustained growth and significant increase in market share in the overall health insurance sector.
- Significant improvement in underwriting performance and overall return metrics.

Negative factors: Factors that could individually or collectively lead to negative rating action/downgrade:

- Material dilution in the shareholding pattern or in support philosophy from existing promoters.
- Deterioration in underwriting performance and/or sustained decline in profitability metrics.
- Decline in solvency margin below 1.65x on a sustained basis.

Analytical approach: Standalone

Standalone; factoring in linkages with the promoter groups – Manipal Group and Cigna. MCHI benefits from financial, managerial, and brand linkages with the promoter groups.

[1]SEBI: Securities and Exchange Board of India; RBI: Reserve Bank of India; MCA: Ministry of Corporate Affairs; IRDAI: Insurance Regulatory and Development Authority of India; PFRDA: Pension Fund Regulatory and Development Authority

[2]Complete definitions of the ratings assigned are available at www.careratings.com and in other CARE Ratings Limited's publications.

Outlook: Stable

The Stable outlook on long-term ratings reflects CareEdge Ratings' expectation of continued capital support from existing promoters for MCHI's growth and solvency requirements, along with continued managerial oversight.

Detailed description of key rating drivers

Key strengths

Parent support and experienced management

As on June 30, 2026, the Company is a JV between MEMG Fund Advisors LLP (44.93%), Manipal Education and Medical Group India Private Limited (6.02%), Cigna Holdings Overseas, Inc. (48.95%), and other shareholders (0.10%). The Manipal Group has an established track record in the education and healthcare sectors. MCHI remains strategically important to MEMG, as reflected in the capital and managerial support extended by the Manipal Group, in addition to the shared brand name.

Cigna Holdings Overseas, Inc., the foreign JV partner, is a part of Cigna, a US-based global health company with a workforce of ~67,700 employees and over 185 million customer relationships across over 30 countries and jurisdictions. MCHI also benefits from Cigna's extensive global expertise in the healthcare sector.

Manipal Group and Cigna have demonstrated a track record of providing need-based equity support to MCHI, with capital infusions of ₹200 crore in FY22, ₹317 crore in FY23, ₹275 crore in FY24, ₹225 crore in FY25, ₹750 crore in FY26, and ₹250 crore in H1FY27. On the managerial front, the Company's board comprises eight directors, including three independent directors, with two representatives each from MEMG and Cigna. The Company is led by Joydeep Saha, Managing Director and CEO, who is supported by an experienced management team comprising professionals with domain expertise and an average experience of over a decade.

Going forward, CareEdge Ratings expects the existing promoters to retain a controlling stake in MCHI over the long term and continue to provide need-based capital support.

Adequate solvency margins

The Company has demonstrated a strong ability to raise capital, having secured ~₹975 crore in fresh equity across FY25 and FY26. As a result, its solvency ratio improved to 1.93x as on June 30, 2026 (March 2026: 1.84x and March 2025: 1.76x), well above the regulatory requirement of 1.50x. Going forward, the Company's ability to maintain solvency at levels envisaged is critical, given its growth plans and strategy to expand into tier-2 and tier-3 regions while strengthening its distribution franchise.

Key weaknesses

Small scale of operations, weak profitability

MCHI commenced operations in 2014 and has an operating track record of over a decade. However, its scale of operations remains modest, with gross direct premium (GDP) of ₹2,213 crore in FY26 (FY25: ₹1,798 crore).

In FY26, MCHI's market share in the overall health insurance sector (including personal accident) stood at 1.58% (PY: 1.49%), while its market share among standalone health insurers (SAHIs) stood at 4.84% (PY: 4.71%). As on June 30, 2026, the company ranked 15th among 33 insurers in the overall health insurance sector.

Within the health insurance segment, the Company's product mix remained balanced, with the retail and group segments contributing 45% (PY: 44%) and 55% (PY: 56%) of gross written premium (GWP), respectively, in FY26. The company's distribution mix remains moderately concentrated, with the brokerage channel accounting for 47% (PY: 43%) of GWP, followed by the agency channel at 23% (PY: 22%), bancassurance at 8% (PY: 10%), corporate agents at 6% (PY: 10%), and direct business at 16% (PY: 14%) in FY26.

The company's loss ratio increased to 85% in FY26 from 77% in FY25, primarily on account of a higher share of group health business underwritten during the year. Given the relatively higher loss ratio in the group health segment compared with the retail health segment, the increased contribution from group business impacted the overall loss ratio. Consequently, the company reported a net loss of ₹408 crore in FY26 as against a net loss of ₹188 crore in FY25.

Going forward, the Company's ability to expand the operations and improve profitability will be a key monitorable.

Single line of business

As a standalone health insurer, MCHI's business is largely concentrated in the health insurance segment, exposing its profitability to segment-specific event risks and adverse risk selection, compared to insurers operating across diversified business segments. In FY26 and Q1FY27, health insurance accounted for ~98.2% and ~97.7% of the company's GWP, respectively. Personal accident and travel insurance accounted for the balance, contributing ~1.7% and ~0.1%, respectively, in FY26 and ~2.2% and ~0.1%, respectively, in Q1FY27.

Changing regulatory dynamics and competitive industry landscape

Long-term growth prospects for the Indian General and Health Insurance sector remains robust with low penetration in India and supported by strong socio-economic growth drivers. As Indian insurance sector continues to evolve, the sector has been undergoing a series of regulatory changes. Some of the key regulatory changes proposed include insurance distribution related reforms, implementation of Indian accounting standards (Ind-AS) and migration to risk-based capital framework in the medium term. While these measures are expected to be favourable for the Indian insurance industry over the longer term, supporting in achieving the vision of "Insurance for all by 2047", they may lead to changes in operating models/ technology adoption in the medium term.

Liquidity: Adequate

The Company's liquidity profile remains adequate where the Company's cash inflows (premiums received + investment income) stood at ₹3,084 crore in FY26 against cash outflows (claim payouts + total expenses) of ₹2,548 crore, indicating adequate liquidity buffer to meet these obligations.

Of the total fixed income investments of ₹3,372 crore as on June 30, 2026, 38% were invested in sovereign instruments and 62% in AAA rated debt securities. As on June 30, 2026, the cash and bank balances stood at ₹59 crore.

Assumptions/Covenants

Not applicable

Environment, social, and governance (ESG) risks

Not applicable

Applicable criteria

Policy on default recognition
Factoring linkages Parent Sub JV Group
Non-Life Insurance Sector
Rating Outlook and Rating Watch
Policy on Curing Period

About the company and industry

Industry classification

Macroeconomic indicator	Sector	Industry	Basic industry
Financial Services	Financial Services	Insurance	Other Insurance Companies

About MCHI

MCHI is a standalone health insurance company, which was incorporated on March 12, 2012, and obtained the Certificate of Registration from the Insurance Regulatory and Development Authority of India (IRDAI) on November 13, 2013, to carry on business of General (Health) Insurance in India. The Company is a JV between Manipal Group, India and Cigna, a US-based global health services company. It offers health insurance products pertaining to both retail and group insurance.

Manipal Education & Medical Group India Private Limited and MEMG Fund Advisors LLP hold 6.02% and 44.93%, respectively, while Cigna Holding Overseas, Inc. holds 48.95% as on June 30, 2026.

About MEMG

MEMG operates in the field of education and healthcare. Manipal Academy of Higher Education (MAHE), the group's higher education arm, is headquartered in Manipal, Karnataka, and has a legacy spanning over six decades in the education sector. MAHE has a presence through multiple campuses and affiliated universities in India and overseas. Manipal Health Enterprises Limited (MHEL) is the healthcare arm of the Manipal group and operates one of India's leading hospital networks. As on March

31, 2026, it had a pan-India presence through 49 hospitals across 14 states and union territories. Apart from education and healthcare, MEMG is also involved in medical research and manages investment-related activities through its investment office.

About Cigna
Cigna is a US-based global health company committed to improving health and vitality. The group aims to partner and innovate solutions for better health. The group's global workforce network is ~67,700 employees working through Cigna Healthcare and Evernorth Health Services to fulfil the group's mission to improve health and vitality of over 185 million customer relationships across over 30 countries and jurisdictions. Cigna Holding Overseas, Inc. is an indirect wholly owned subsidiary of Cigna.

MCHI - Standalone

Brief Financials (₹ crore)	March 31, 2025 (A)	March 31, 2026 (A)	Q1FY27 (UA)
Gross direct premium	1798	2213	704
Profit after tax (PAT)	-188	-408	-54
Tangible net worth (including fair value change)	494	824	919
Solvency (x)	1.76	1.84	1.93
Combined ratio (%)	117.72	125.20	115.43
Return on net worth (RONW) (%)	-39.41	-61.87	-27.76*

A: Audited; UA: Unaudited; Note: these are latest available financial results
*Annualised

Status of non-cooperation with previous CRA:
Not applicable

Any other information:
Not applicable

Rating history for last three years: Annexure-2

Detailed explanation of covenants of rated instrument / facility: Annexure-3

For complexity level of instruments rated refer to Annexure-1

Lender details: Annexure-4

Disclosure on facilities/instruments and name of the regulators:
A list of facilities / instruments falling under the purview of various financial sector regulators (FSRs) along with the names of respective FSRs has been duly disclosed by CareEdge Ratings on its website. A link to the same has been provided below for ready reference:

https://www.careratings.com/activities_and_regulators

Note: For facilities or instruments falling under the purview of FSRs other than Securities and Exchange Board of India (SEBI), the grievance / dispute redressal mechanisms and investor protection mechanisms provided by SEBI shall not be available.

Annexure-1: Details of instruments/facilities

Name of the Instrument	Name of the Regulator	Complexity Level	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate (%)	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned and Rating Outlook
Debt-Subordinate Debt	SEBI	Complex	INE790W08033	20-03-2025	9.00	20-03-2035	125.00	CARE BBB; Stable

Annexure-2: Rating history for last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2026-2027	Date(s) and Rating(s) assigned in 2025-2026	Date(s) and Rating(s) assigned in 2024-2025	Date(s) and Rating(s) assigned in 2023-2024
1	Debt-Subordinate Debt	LT	125.00	CARE BBB; Stable	-	1)CARE BB; Stable (31-Oct-25)	1)CARE D (17-Jan-25)	-

LT: Long term

Annexure-3: Detailed explanation of covenants of rated instruments/facilities

Not applicable

Annexure-4: Lender details

To view lender-wise details of bank facilities please click here

Note on complexity levels of rated instruments: CareEdge Ratings has classified instruments rated by it based on complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for clarifications.

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